Warranty and Replacement Policy

KARTWAY OPERATIONS MANUAL
SECTION 14: WARRANTY AND DEFECT OPERATIONS
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Owner: Customer Operations Policy Team

14.1 Scope and Purpose This policy defines mandatory agent workflows, coverage thresholds, and resolution pathways for all merchandise defects, hardware failures, and warranty claims processed through Kartway customer operations. All decisions made by Tier 1, Tier 2, and Escalations agents must adhere strictly to the clauses herein. Deviations require written authorization from the Warranty Operations Manager, Arthur Pendelton.

14.2 Manufacturer vs. Kartway Warranty Boundaries 1. Kartway-Handled Claims (Direct Responsibility): * (a) All items sold under the *Kartway Basics* or *Apex Home* private-label brands. * (b) Any branded merchandise where the original manufacturer has ceased operations, entered insolvency, or has no authorized service center within the customer's national jurisdiction. * (c) Any item developing a functional defect within thirty (30) calendar days of delivery (falling within the standard Kartway Return Window, per Policy KW-POL-1101). * (d) Items purchased with an optional *KartwayCare Extended Protection Plan*.

2. Manufacturer-Handled Claims (Third-Party Responsibility):
* (a) Branded merchandise (e.g., Sony, Whirlpool, DeLonghi) experiencing functional failure after thirty-one (31) calendar days of delivery, provided an active manufacturer warranty remains valid.
* (b) Agents must not issue refunds or direct replacements for items under active manufacturer warranty until the customer provides proof of a formal claim rejection from the manufacturer, or the manufacturer’s designated repair depot has held the item for longer than the manufacturer’s stated Service Level Agreement (SLA) plus ten (10) business days.
* (c) For manufacturer-handled claims, agents are restricted to providing the customer with authorized contact details, RMA submission templates, and proof-of-purchase invoices.

14.3 Coverage Periods by Merchandise Category Warranty coverage periods commence strictly on the date of delivery as recorded by the final-mile carrier tracking system.

1. Category A: Consumer Electronics & Computing
* *Standard Coverage:* One (1) year limited hardware warranty.
* *Exclusions:* Batteries, charging cables, and included software carry a ninety (90)-day limited warranty.

2. Category B: Large Home Appliances & Furniture
* *Standard Coverage:* Two (2) years parts and labor.
* *Exclusions:* Cosmetic wood finishes and fabric staining are covered for fourteen (14) days post-delivery only.

3. Category C: Power Tools & Outdoor Equipment
* *Standard Coverage:* One (1) year limited warranty.
* *Exclusions:* Consumable blades, drive belts, and spark plugs are explicitly excluded from warranty coverage.

4. Category D: Apparel, Luggage, and General Soft Goods
* *Standard Coverage:* Ninety (90) days against structural stitching failure and zipper defects. Fabric wear and tear is excluded.

14.4 Conditions Voiding Warranty Coverage A warranty claim must be formally denied if inspection by Kartway returns personnel or authorized repair partners reveals any of the following conditions:

1. (a) Unauthorized Modification: Evidence of internal component tampering, unauthorized soldering, unapproved third-party firmware flashing, or structural alteration.
2. (b) Liquid or Environmental Damage: Internal corrosion indicators triggered, or direct evidence of water, moisture, or extreme thermal exposure exceeding the manufacturer’s operating threshold.
3. (c) Serial Number Alteration: Removal, defacement, or falsification of the manufacturer serial number, IMEI, or Kartway internal barcode asset tag.
4. (d) Misuse and Abuse: Damage resulting from drops exceeding one point five (1.5) meters, use of incorrect voltage inputs (e.g., plugging a 110V appliance into a 240V source), or utilization in commercial/industrial environments for products rated strictly for residential use.
5. (e) Pest Infestation: Presence of biological contamination, insect infestation, or rodent damage within the chassis of the returned unit.

14.5 Replace-Versus-Repair Decision Rule Agents and repair depot leads must apply the following financial formula to determine whether to authorize a repair or a replacement:

1. Repair Threshold: If the estimated cost of repair (inclusive of replacement parts, diagnostic labor calculated at a flat rate of $45.00/hour, and inbound/outbound logistics) is less than or equal to fifty percent (50%) of the current Kartway site list price (or original purchase price, whichever is lower), the item must be routed to repair.
2. Replacement Threshold: If the estimated cost of repair exceeds fifty percent (50%) of the current Kartway site list price, or if the item is classified under Category D (Apparel/Soft Goods), the item must be replaced.
3. Unrepairable Units: If an item is within the repair threshold but parts are globally backordered for more than forty-five (45) calendar days, the depot manager is authorized to override the rule and approve a replacement.

14.6 Turnaround Commitments and SLAs Agents must communicate the following strict turnaround commitments to customers. Failure to meet these thresholds triggers automated account credits per operational guidelines.

1. Repair Path Commitment:
* (a) Total turnaround time from the date the item is scanned at the Kartway Return Hub to the date the repaired item is delivered back to the customer shall not exceed fourteen (14) business days.
* (b) If the repair is delayed past fourteen (14) business days, the customer’s account shall automatically be credited twenty dollars ($20.00) for every business day of delay, up to a maximum of the item's purchase price.

2. Replacement Path Commitment:
* (a) Replacement orders must be initiated and entered into the warehouse management queue within twenty-four (24) hours of warranty claim approval.
* (b) Standard replacement delivery window is three (3) to five (5) business days from initiation. Expedited shipping must be applied at no cost to the customer if the initial defect was caused by a verified shipping damage incident.

3. Manufacturer Escalation Path Commitment:
* (a) When Kartway acts as an intermediary for a manufacturer claim, the agent must issue the initial manufacturer referral package within forty-eight (48) hours of customer contact.
* (b) Follow-up with the third-party manufacturer must occur every seven (7) calendar days until resolution is confirmed.